EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Sanchez Mira is a third-class municipality located in the northwestern part of the province of Cagayan. It was formerly known as Malolokit, a visita of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Sanchez Mira for the year 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position, financial performance, appropriation, allotments and obligations of the Municipality of Sanchez Mira, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	555,995,298.79	517,855,733.80	38,139,564.99
Liabilities	78,675,120.61	78,390,107.25	285,013.36
Government Equity	477,320,178.18	439,465,626.55	37,854,551.63
Financial Performance			
Income	173,253,578.66	195,244,038.44	(21,990,459.78)
Expenses	173,518,437.53	171,279,183.95	2,239,253.58
Net Income	(264,858.87)	23,964,854.49	(24,229,713.36)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Construction of Multi-purpose Building for DA/DSWD Office	3,997,979.02
Improvement of Multi-purpose Building at Rural Health Unit	1,498,879.42
Improvement / Upgrading of Local Access Roads/Bridge	9,497,547.15
Construction/Improvement of Barangay Multi-purpose Buildings/ Evacuation Centers	8,684,501.50
Improvement of Sanitary Landfill	3,194,024.66
Improvement of Municipal Road at Centro 1	1,869,415.00
Construction & Heavy Equipment (Dump truck)	2,546,367.77
Construction & Heavy Equipment (Backhoe)	5,443,036.67
Motor Vehicle (Coaster Bus)	3,987,000.00
Provision of Streetlights to different barangays	1,960,416.32
Total	**42,679,167.51**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered an Unmodified Opinion on the fairness of the presentation of the financial statements of the LGU of Sanchez Mira, Cagayan as at December 31, 2023.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The LDRRM fund totaling to P20.422 million was not optimally utilized to implement disaster related programs, projects and activities incorporated in the LDRRM Investment Plan, resulting in utilization rate of 51.59 percent or P10.535 million, thereby defeating the objective of the fund, which is to enhance the disaster preparedness and response capabilities of the Municipality.

   We recommended that the Local Chief Executive enjoin the Municipal DRRM Officer and other concerned implementing offices to fully utilize the fund and implement all budgeted programs, projects and activities identified in its Local Disaster Risk Reduction and Management Investment Plan.

2. The BAC did not require the submission of Omnibus Sworn Statements from bidders/suppliers for procurement of goods and services made through Negotiated Procurement-Small Value Procurement totaling to P10.039 million, contrary to Section 4 (6) of P.D. No. 1445 and Annex H of the Revised IRR of Republic Act No. 9184, thus, affecting the validity of the said procurements.

We recommended the following:

- The BAC require the submission of Omnibus Sworn Statement on all procurements made through Negotiated Procurement-Small Value Procurement with ABCs above P50,000.00 pursuant to the Revised IRR of Republic Act No. 9184; and

- The Municipal Accountant ensure compliance with the documentary requirements before payment in order to establish validity of the procurements of the Municipality.

3. The Municipality divided requisitions and contracts for procurement of goods totaling to P0.880 million and resorted to Small Value Procurement instead of Public Bidding, contrary to Sections 54.1, 48.2 and Section D.8.a Annex H, of the 2016 Revised IRR of Republic Act No. 9184, thus affects the validity of the procurements.

   We recommended that the Management:

   - Consolidate requisitions for procurement of goods and services from each department/office into a single Annual Procurement Plan as basis in planning the procurement of the Municipality for the entire year pursuant to the Revised IRR of Republic Act No. 9184;

   - Require the BAC to meticulously plan the procurement of the Municipality and deliberate properly on the appropriate mode of procurement to avoid resorting to splitting of contracts; and

   - Submit justification on the splitting of requisitions and contracts for the procurements totaling to P880,935.72 as of December 31, 2023.

G. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges			-		

Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the five (5) audit recommendations in the CY 2022 Annual Audit Report, three (3) were implemented and two (2) were partially implemented.